25STCV25304 25STCV25304

County: los-angeles

Division: Civil Law and Motion

Department: 11

Hearing date: 2026-08-14

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=SS%20%2C11%2C08%2F14%2F2026

Source SHA-256: 44c3b912936be0d8c89af5adce086012ee48eedf81297cd19591e288afcfa7d4

Case Number: 25STCV25304 Hearing Date: August 14, 2026 Dept: 11

People v. Sweepsteaks Ltd. (25STCV25304)

. .

Tentative Ruling Re:

Motion to Quash

Date: 8/14/26

Time: 11:00 am

Moving

Party: Easygo Group Holdings

Pty Ltd. (“Easygo”), Medium Rare N.V. (“Medium Rare”), Ed Craven, and Bijan

Tehrani (collectively “Stake Defendants”)

Opposing

Party: The People of the State

of California (“People” or “Plaintiff”)

Department: 11

Judge: Bruce G. Iwasaki

TENTATIVE RULING

The People fail to establish that the court can exercise personal jurisdiction over the moving Stake Defendants. The motion to quash is granted. Plaintiff's request for jurisdictional discovery is denied.

BACKGROUND

The operative complaint ("FAC") alleges that numerous companies – including the Stake Defendants – play a role in operating a gambling website called Stake.us. (See Opposition, p. 7.) Plaintiff claims the website is "highly addictive" and unlawful. (Ibid.; see also FAC, ¶¶ 285-302.)

In this motion, four defendants – referred to here as the Stake Defendants – move to quash service of summons for lack of personal jurisdiction. As set forth in the declaration of Bo Li, CFO of Easygo Group Holdings:

Easygo "is an Australian company with its principal place of business in Australia." (Li Decl., ¶ 2.) "It has no offices or employees based in California, and it is not registered to do business in California." (Ibid.)

Medium Rare "is a Curaçao company with its principal place of business in Curaçao." (Id. at ¶ 6.) "It has no offices or employees based in California, and it is not registered to do business in California[.]" (Ibid.)

Ed Craven "live[s] in Australia." (Craven Decl., ¶ 2.) He has "never lived in the United States" or "visited California." (Ibid.)

Bijan Tehrani "live[s] in Australia" as well. (Tehrani Decl., ¶ 2.) He has "not lived in the United States since 2016[,]" and he has "never lived in California" or "visited California for purposes of doing business on behalf of any of the Defendants in this case." (Id. at ¶¶ 2-3.)

APPLICABLE LAW

There

are “two types of personal jurisdiction[,]” general and specific. (Bristol-Myers Squibb Co. v. Superior Court of California, San Francisco County (2017) 582 U.S. 255, 262.) Plaintiff relies on specific jurisdiction.

“When determining whether specific jurisdiction exists, courts consider the ‘relationship among the defendant, the forum, and the litigation.’” (Halyard Health, Inc. v. Kimberly-Clark Corp. (2019) 43 Cal.App.5th 1062, 1070 (“Halyard Health”).) “[C]ourts focus on the nature and quality (not the quantity) of defendant’s activity in the forum state.” (Weil & Brown, Cal. Practice Guide: Civ. Procedure Before Trial (The Rutter Group June 2023 Update) ¶ 3:240.) “[S]ingle or occasional acts of the corporate agent” can suffice if the lawsuit relates to the “in-state activity.” (Daimler AG v. Bauman (2014) 571 U.S. 117, 127; see also Weil & Brown, supra, at ¶ 3:240.1 [“Provided a ‘substantial connection’ with the forum is created thereby, even a single act may support specific personal jurisdiction over a nonresident.”].)

To exercise specific jurisdiction, a court must find purposeful availment (the defendant made purposeful contacts with the forum), relatedness (the litigation arises from or relates to the defendant’s forum contacts), and reasonableness (the forum’s “assertion” of specific jurisdiction “comport[s] with ‘fair play and substantial justice’”). (Halyard Health, supra, 43 Cal.App.4th at 1070.)

The plaintiff bears the burden to establish specific jurisdiction. (See Vons Companies, Inc. v. Seabest Foods, Inc. (1996) 14 Cal.4th 434, 449.)

DISCUSSION

Purposeful Availment

The Stake Defendants

The Stake Defendants contend that Plaintiff “cannot establish jurisdiction through collective allegations or theories of alter ego or agency." (Motion, p. 6, bolding and underlining deleted; see also id. at pp. 7-9 [claiming "[o]ne defendant's acts 'cannot be imputed to [another] to establish jurisdiction[,]" discussing Farina v. SAVWCL III, LLC (2020) 50 Cal. App. 5th 286 for the proposition that group allegations do not suffice, and arguing that the FAC fails to allege alter-ego or agency liability].)

The Stake Defendants also assert that Plaintiff's Defendant-by-Defendant showing is inadequate:

* Easygo – the Stake Defendants claim "Easygo has no financial interest in Stake.us" and "never contracted with Veriff for identity verification services for Stake.us." (Id. at p. 11 [contending "Stake.us is not even in the same corporate chain as Easygo"]; see also id. at p. 12.)

* Medium Rare – the Stake Defendants insist that (1) Plaintiff fails to allege facts "outlining how Medium Rare helped to create Stake.us nor suggesting that Medium Rare specifically targeted California rather than the United States as a whole [,]'" (2) "the allegation that Medium Rare develops games accessible on Stake.us does not establish California contacts, because licensing to an entity located outside California does not establish jurisdiction[,]" and (3) "the Stake.com pop-up does not establish California contacts for two reasons.
First, the landing page is not specific to California users—it redirects all United States users away from Stake.com." (Id. at pp. 9-10; see also id. at p. 11.)

* Craven – the Stake Defendants argue that (1) Plaintiff "offers no specifics as to what conduct Mr. Craven allegedly directed, how he directed it, or how that direction targeted California rather than the United States generally[,]" (2) Craven's "indirect ownership interest in certain corporate defendants and work at those companies is insufficient to confer personal jurisdiction on him personally[,]" and (3) "with respect to the allegations related to Mr. Craven's activity on Kick Streaming," Plaintiff fails to allege that Craven "used California-specific tags on Kick, interacted with California viewers, or awarded prizes to California residents." (Id. at pp. 12-13 [citing Westbrook v. Paulson (W.D. Wash. Mar. 15, 2021, No. 20 Civ. 1606 (BJR)) 2021 WL 963486, stressing that "[s]treaming on a

platform accessible worldwide does not amount to purposeful targeting of Californians"].)

* Tehrani – the Stake Defendants maintain that the allegations against Tehrani "establish, at most," that he "plays a role in business operations with nationwide reach." (Id. at p. 13.)

Plaintiff

Plaintiff claims "Easygo's targeting of California is . . . readily apparent because it works directly on Sweepsteaks' behalf in creating and operating Stake.us in California":

As alleged in the First Amended Complaint, Easygo initially operated Stake.com outside of the United States (and inside the United States when gamblers used a VPN) and then used that knowledge and the same casino games to launch Stake.us. FAC ¶¶ 89-90, 161-163. Easygo does not deny any of these allegations. See Li Decl. Mr. Craven even admits that "Bijan and I started Easygo with a simple vision: to reimagine the online gaming industry" and explains how that operation has expanded to include Easygo, Stake, and Kick. Ex. 13 at 2.

Even after launching Stake.us in the United States, Easygo continued to act on Sweepsteaks' behalf in negotiating and executing the key partnerships at issue in this litigation. For example, Veriff admits on its website that its partnership with Stake.us (i.e., Sweepsteaks) is really a partnership with Easygo. Ex. 15. The article explains that "[t]he founders of Easygo are the brains behind Stake.us and Stake.com, the world's biggest online cryptocurrency casino." Id. at 2. Because Stake.us needed help speeding up its verification of users, Easygo initially "worked with third parties in an attempt to develop an automated verification system [for Stake.us], but it was unable to process the wide range of identity documents issued at US state level." Id. at 3. Dan Richardson, Chief Product Officer at Easygo, explained that Easygo turned to Veriff to solve Stake.us's "backlog of hundreds of thousands of identity documents that were awaiting verification." Id. The article further states that "Easygo turned to Veriff to accurately verify the customer age and address, ensuring that [Stake.us's] customers were legally old enough to gamble online and that online casinos could achieve regulatory compliance." Id. at 4.

These overlapping party admissions demonstrate that, prior to Veriff's involvement, Easygo operated Stake.us's customer authorization process and verified all California Stake.us users in violation of California law. Easygo then controlled what contracts and partnerships Stake.us entered into related to verification, including identification checks and geolocation. Easygo was thus the entity directing and managing the contract that allowed Veriff and Stake.us to confirm the location of each California resident seeking to set up a Stake.us account, even if Easygo was not the entity that formally signed the contract with Veriff.

Because Sweepsteaks has not even attempted to contest jurisdiction, Easygo—which helped create Stake.us, operated Sweepsteaks's geolocation checks for all California residents, and then acted as the "partner" behind Sweepsteaks's contract with Veriff for user identification—has no legitimate basis to contest jurisdiction either. . . .

(Opposition, pp. 14-15, emphasis in original.)

As to Medium Rare, Plaintiff argues:

Medium Rare is the entity behind Stake.com. FAC ¶ 26. Stake.us is a carbon copy of Stake.com. The two casinos share games (which Medium Rare licenses to Stake.us), owners (Mr. Craven and Mr. Tehrani), and a director (Jonathan Heymans), and operate substantively identical websites. Id. ¶¶ 98-102, 161-170; Li Decl. ¶¶ 8-9; Stake Mot. at 10. It strains credulity to believe that Stake.us could launch a carbon copy of Stake.com—using the same personnel, trade secrets, intellectual property, games, licenses, and logos—without Medium Rare's direct involvement, approval, and compensation.

Stake.com also directs would-be United States users to Stake.us. When individuals in the United States—including California—attempt to access Stake.com, they receive a geolocation-triggered pop-up that directs them to "Start Playing on Stake.us." FAC ¶ 266. This means that every time Medium Rare identifies a potential California gambler via the gambler's internet protocol address, it sends that Californian to Stake.us to play Medium Rare's games—all to the financial benefit of Medium Rare and its owners, Mr. Craven and Mr. Tehrani. Medium Rare claims that this pop-up is just "passive, informational content" that "merely provides information" and "does not enable transactions with California residents[.]" Stake Mot. at 11. That's not true. The pop-up is plainly a commercial referral mechanism: Medium Rare identifies potential gamblers (including gamblers it identified as being located in California) and intentionally directs them to a platform that operates in California and where Medium Rare and its owners can generate revenue through Medium Rare's games. The pop-up thus demonstrates that Medium Rare has played and continues to play a direct role in creating and operating Sweepsteaks (which, again, does not contest jurisdiction), including in California for its own financial gain. See Mavrix Photo, Inc. v. Brand Techs., Inc., 647 F.3d 1218, 1231 (9th Cir. 2011) ("[W]here, as here, a website with national viewership and scope appeals to, and profits from, an audience in a particular state, the site's operators can be said to have 'expressly aimed' at that state.").

Like Mr.
Craven, Mr. Tehrani, and Easygo, the Court should find that Medium Rare purposefully directed its activities towards California due to its direct involvement in Stake.us— creating the website, providing Sweepsteaks access to its intellectual property and trade secrets, hosting games on Stake.us, and directing potential customers to the website. And, as with the other Stake Defendants, the "special regulation" doctrine applies. Because Medium Rare chose to help replicate Stake.com in the United States, and then to operate that illegal gambling website in direct violation of California law, it should be required to face the consequences of that behavior in California. . . .

(Id. at pp. 15-17, emphasis in original,
footnotes omitted.)

Plaintiff contends Craven and Tehrani "are the
masterminds behind the Stake.us operation":

They own
Sweepsteaks (which does not contest jurisdiction), Medium Rare, and Easygo, which in turn owns Kick (another entity not contesting jurisdiction). Li Decl. ¶ 3; Craven Decl. ¶ 3; Tehrani Decl. ¶ 4; Ex. 13 at 2; Ex. 2 at 2. Their indirect ownership structure was "designed in part to avoid personal liability and to protect Mr. Tehrani and Mr. Craven from the risks of running an illegal

online casino.” FAC ¶ 27.

Evidence, including Mr. Craven’s and Mr. Tehrani’s party admissions, demonstrates that Mr. Craven and Mr. Tehrani control Stake.us’ decision-making, including the decision to expand into regulated markets in the United States (such as California). Mr. Craven published an article in December 2024 boasting that he was “more committed than ever to staying deeply involved in the day-to-day” of his companies because “[t]his hands-on approach is what made Easygo, Stake, and KICK the success stories they are today.” Ex. 13 at 3 (emphasis added). Mr. Craven added that “[s]taying close to the action is a principle I hold at the core of leadership[.]” Id. In addition, an article profiling Mr. Craven and Mr. Tehrani described how they launched Stake.us and then Kick when Stake.com was banned from a popular streaming website. Ex. 14. It also explained that Stake recently “went on a hiring spree of legal and compliance staff to get into the more tightly regulated markets” and now operates a “social casino” in the United States. Id. at 23. In other words, the conduct at issue in this lawsuit traces directly to Stake’s and Kick’s two founders. The article also explains how Mr. Craven and Mr. Tehrani founded Easygo (referred to as “their company”) with the express purpose of creating “a full-suite online crypto casino licensed in the gambling-friendly Caribbean nation of Curaçao”—again, the very conduct at the heart of this lawsuit. Id. at 16, 8.

These admissions—made while Stake.us and Kick operated in California—leave no room to question Mr. Craven’s or Mr. Tehrani’s control, direction, and operation of the Stake Defendants, including the two entities that admittedly target California and do not contest jurisdiction. . . .

Moreover, Mr. Tehrani and Mr. Craven’s ownership and operation of the Stake Defendants “cause[d] effects in California of a nature that [were] exceptional and subject to special regulation in the state.” Hogue v. Hogue, 16 Cal. App. 5th 833, 838 (2017) (internal quotations omitted). California courts have long made clear that sending content into California in violation of a “special regulation” is considered purposeful availment. . . . [T] the operation of an illegal gambling enterprise in the state—in violation of laws restricting gambling as described in the People’s Demurrer Opposition—likewise justifies this Court’s exercise of jurisdiction over Mr. Tehrani and Mr. Craven.

(Id. at pp. 12-14, emphasis in original.)

Reply

In reply, the Stake Defendants state:

* Easygo

– “The City Attorney offers no evidence to rebut” the Li declaration. (Reply, p. 5.)

– “[T]he City Attorney asserts that Easygo ‘creat[ed]” and “operat[ed]’ Stake.us in California.” (Ibid.) “For this, she appears to rely on the article’s statement that ‘[t]he founders of Easygo are the brains behind Stake.us and Stake.com.’” (Ibid.) “But this proves nothing.” (Ibid.) “Easygo ‘does not control or own Sweepsteaks Ltd.,’ Li Decl. ¶ 4, and even in the parent-subsidiary context, ‘interlocking directors and officers” is considered a “[n]ormal characteristic[] of ownership.’” (Ibid.)

– “[T]he City Attorney asserts that Easygo ‘operated Sweepsteaks’s geolocation checks for all California residents.’” (Ibid.) “But her own exhibit states that it was ‘Stake.us,’ not Easygo, that ‘carried out manual in-house KYC screening’ before bringing on Veriff.” (Ibid.)

– “[T]he City Attorney claims that Easygo ‘acted as the “partner” behind Sweepsteaks’s contract with Veriff for user identification.’” (Ibid.) “But the article never states that Easygo contracted with Veriff or negotiated any agreement on Sweepsteaks Ltd.’s behalf.” (Ibid.) “The article’s own subheading states, ‘Veriff’s partnership with Easygo and Stake, however, shows it is possible to expedite [background] checks without impacting customer experience.’” (Ibid., emphasis in original.) “Nothing in the article calls into question the Li Declaration’s unequivocal sworn statement that Easygo ‘never contracted with Veriff on behalf of Sweepsteaks Ltd.’” (Ibid.)

* Medium Rare

– "It is undisputed that Medium Rare is the entity behind Stake.com, which is a foreign website that expressly blocks access for all users based in the United States." (Id. at p. 1.) "Sweepsteaks Ltd.'s website (Stake.us) was available in California until December 31, 2025, but Medium Rare's website (Stake.com) never was. The City Attorney does not present any argument—let alone evidence—rebutting these facts." (Id. at p. 2.)

– "[T]he Opposition asserts that Medium Rare 'play[s] a direct role in creating and operating Sweepsteaks.'" (Ibid.) "No citation, no support. It asserts that Medium Rare identifies users 'as being located in California' and 'directs' those known Californians to Stake.us." (Ibid.) "Again, no citation, no support." (Ibid.) "And it asserts that Medium Rare gave Stake.us its intellectual property and trade secrets, and even hosted games on Stake.us." (Ibid.) "Same problem, yet again." (Ibid.)

– "The City Attorney's remaining jurisdictional arguments—that Medium Rare redirects would-be Stake.com users to Stake.us and develops and licenses games accessible on Stake.us— fare no better." (Id. at p. 3.) "The City Attorney offers no affidavit, declaration, or authenticated document to substantiate either of these assertions. Instead, she relies on her unverified complaint." (Ibid.)

– "[T]he City Attorney's suggestion that" the redirect page "is a 'commercial referral mechanism' that 'identifies potential [California] gamblers' to refer them to Stake.us . . . is a silly exaggeration." (Ibid.) "All the site says is 'Due to our gaming license, we cannot accept customers from the United States' and then provides a link to Stake.us." (Ibid.) "There is no evidence that the site identifies any visitor's location within the United States or distinguishes California users from any others. Rather, it 'passively make[s] information available' about the existence of an alternative, licensed website, which is insufficient to confer jurisdiction." (Ibid. [quoting Jacqueline B. v. Rawls Law Group., P.C. (2021) 68 Cal. App. 5th

243, 254].)

– “The game-licensing allegation is equally unavailing. Even accepting the City Attorney’s unsupported claim that Medium Rare licenses games to Sweepsteaks Ltd., that transaction would be between a Curaçao company and a Cypriot company.” (Id. at p. 4.)

* Craven and Tehrani

– “The City Attorney contends that Mr. Craven and Mr. Tehrani ‘control[led]’ Stake.us’s ‘decision to expand into regulated markets in the United States (such as California).’” (Id. at p. 6.) “But the City Attorney points to no evidence that either individual personally engaged in any conduct directed at California.” (Ibid.)

– “The City Attorney’s . . . primary exhibits are two online articles.” (Id. at p. 7.) “As she observes, Exhibit 13 quotes Mr. Craven stating that he is ‘more committed than ever to staying deeply involved in the day-to-day’ of his companies and that ‘[s]taying close to the action is a principle [he] hold[s] at the core of leadership.’” (Ibid.) “Similarly, Exhibit 14 profiles Mr. Craven and Mr. Tehrani as cofounders and notes that Stake hired ‘legal and compliance staff to get into the more tightly regulated markets.’” (Ibid.) “But none of these statements references California or identifies any action directed at California residents.” (Ibid.) “At most, the articles establish that Mr. Craven and Mr. Tehrani are involved executives of a global enterprise, which is precisely the type of general corporate leadership role that does not give rise to personal jurisdiction.” (Ibid.; see also id. at p. 8 [distinguishing Helm v. Alderwoods Group 1057 (N.D. Cal. 2009) 696 F. Supp. 2d 1057 and Anglo Irish Bank Corp. v. Superior Court (2008) 165 Cal. App. 4th 969].)

Analysis

The Court finds the purposeful-availment prong unsatisfied for the following reasons.

First, the People cannot rely on allegations in the complaint to meet their burden. (See Weil & Brown, supra, at ¶ 3:388 [advising that “[a]n unverified pleading has no evidentiary value in determining personal jurisdiction”], emphasis in original; see also In re Automobile Antitrust Cases I & II (2005) 135 Cal.App.4th 100, 110 [instructing that “[t]he plaintiff must provide affidavits and other authenticated documents in order to demonstrate competent evidence of jurisdictional facts” and that “[a]llegations in an unverified complaint are insufficient to satisfy this burden of proof”].)

Second, much of Plaintiff’s evidence is unauthenticated and unverified. (See Opposition, pp. 14-15 [citing allegations, the Li declaration, and exhibits 13 and 15 against Easygo]; see also Caforio Decl., Exs. 13 [blog post by Craven], 15 [website posting/case study by Veriff]; Opposition, pp. 16-17 [citing allegations and the Li declaration against Medium Rare]; id. at pp. 12-14 [citing allegations, the Craven, Tehrani, and Li declarations, and exhibits 13 and 14 against Craven and Tehrani]; Caforio Decl., Exs. 13 [blog post by Craven], 14 [magazine article].)

Third, assuming admissibility, the evidence fails to show purposeful availment.

Bo Li, Easygo’s Chief Financial Officer, declares:

2. Easygo Group Holdings Pty Ltd. is an Australian company with its principal place of business in Australia. It has no offices or employees based in California, and it is not registered to do business in California.

3. Easygo Group Holdings Pty Ltd. owns Kick Streaming Pty Ltd. and a number of other operating and holding companies. Easygo Group Holdings Pty Ltd. and Kick Streaming Pty Ltd. do not share bank accounts, assets, or corporate records. No director of Easygo Group Holdings Pty Ltd. serves as a director of Kick Streaming Pty Ltd.

4. Easygo Group Holdings Pty Ltd. does not control, or own Sweepsteaks Ltd. or Stake.us. Easygo Group Holdings Pty Ltd.

and Sweepsteaks Ltd. do not share bank accounts, assets, or corporate records. No director of Easygo Group Holdings Pty Ltd. serves as a director of Sweepsteaks Ltd.

5. Easygo Group Holdings Pty Ltd. never contracted with Veriff on behalf of Sweepsteaks Ltd.

6. Medium Rare N.V. is a Curaçao company with its principal place of business in Curaçao. It has no offices or employees based in California, and it is not registered to do business in California

7. Medium Rare N.V. owns Stake.com, an online casino with controls designed to ensure that it is available only to users outside the United States. Medium Rare N.V. does not control, operate, or own Sweepsteaks Ltd. or Stake.us. Medium Rare N.V. and Sweepsteaks Ltd. do not share bank accounts, assets, or corporate records.

8. Medium Rare N.V. has three directors: Kurason Trust Curaçao N.V., Blue Angels Management B.V, and Jonathan Heymans. It has multiple ultimate beneficial owners, two of whom are Edward Craven and Bijan Tehrani.

9. Sweepsteaks Ltd. has three directors: Keyfin Management Ltd, Jonathan Heymans, and Mladen Vuckovic.

(Li Decl., ¶¶ 2-9.)

Defendant Ed Craven declares:

2. I live in Australia. I have never lived in the United States. I have never visited California.

3. I have

indirect financial interests in Sweepsteaks Ltd., Kick Streaming Pty Ltd., Medium Rare N.V., and Easygo Group Holdings Pty Ltd.

4. I do not
serve on the board of directors of Sweepsteaks Ltd., Medium Rare N.V. or Kick Streaming Pty Ltd.

5. I did not
instruct Stake.us or any of the Defendants to target California residents.

6. I do not
post streaming content on Kick.com for the purpose of directing California residents to use Stake.us.

7. I have
not consented and do not consent to the exercise of jurisdiction over me by the courts of the State of California.

(Craven Decl., ¶¶ 2-7.)

Defendant Bijan Tehrani declares:

2. I live in
Australia. I have not lived in the United States since 2016.

3. I have
never lived in California, and I have never visited California for purposes of doing business on behalf of any of the Defendants in this case.

4. I have
indirect financial interests in Sweepsteaks Ltd., Kick Streaming Pty Ltd., and Medium Rare N.V., and a direct financial interest in Easygo Group Holdings Pty Ltd.

5. I do not
serve on the board of directors of any defendant in this action.

6. I did not
instruct Stake.us or any of the Defendants to target California residents.

7. I have not consented and do not consent to the exercise of jurisdiction over me by the courts of the State of California.

(Tehrani Decl., ¶¶ 2-7.)

Plaintiff relies on exhibit 13 to the Caforio declaration, a December 2024 blog post by Craven. Plaintiff quotes page 3, where Craven writes:

I'm more committed than ever to staying deeply involved in the day-to-day. This hands-on approach is what made Easygo, Stake, and KICK the success stories they are today. Staying close to the action is a principle I hold at the core of leadership, and it's how we all remain connected.

(Caforio Decl., Ex. 13, p. 3.)

Similarly, Plaintiff cites exhibit 14, a February 2025 article in Forbes Magazine.
Plaintiff quotes portions of pages 8, 16, and 24:

"Their company Easygo Solutions reports a net profit to ASIC of $206 million for 2023 after paying $102 million in tax.

* * *

"They founded Easygo Solutions as a private company in Australia aiming to open a full-suite online crypto casino licensed in the gambling-friendly Caribbean nation of Curaçao.

* * *

Last year Stake went on a hiring spree of legal and compliance staff to get into the more tightly regulated markets, opening non-crypto operations in the UK, Portugal, Italy and Colombia. In the United States, Stake operates as a "social casino" run on valueless digital coins but they still hope to enter that market, and Australia, where it remains illegal to bet on Stake.

(Id. at Ex. 14, pp. 8, 16, 24.)

Plaintiff also cites exhibit 15, an April 2025 website posting/case study by Veriff. Plaintiff quotes excerpts from pages 2, 3, and 4:

The founders of Easygo are the brains behind Stake.us and Stake.com, the world's biggest online cryptocurrency casino.

* * *

Prior to Easygo's partnership with Veriff, its subsidiary Stake.us, like many online casinos, carried out manual in-house KYC screening. This process involved an ID verification team, based in Serbia, looking at thousands of individual customer documents and using a point-by-point checklist to determine if they were compliant.

Needless to say, this analogue approach was incredibly labor intensive, costly and caused a huge bottleneck in the customer-onboarding process. Thousands of customers had to routinely wait a week or longer before their ID was verified and they could meaningfully participate on Stake.us.

* * *

Easygo had previously worked with third parties in an attempt to develop an automated verification system, but it was unable to process the wide range of identity documents issued at US state level.

* * *

Easygo turned to Veriff to accurately verify the customer age and address, ensuring that their customers were legally old enough to gamble online and that online casinos could achieve regulatory compliance.

(Id. at Ex. 15, pp. 2, 3, 4.)

None of these statements show California contacts or conduct directed toward California.

Fourth, the footnote pertaining to the Stake Defendants' alleged alter-ego or agency status is conclusory, and the cited evidence (page 3 of Easygo's Form 604) fails to prove alter-ego or agency jurisdiction. (See Opposition, p. 17 n.3; see also Carforio Decl., Ex. 28, p. 3; Reply, p. 9.) More than a common address must be shown.

Fifth, the Court rejects Plaintiff's reliance on the special-regulation doctrine. (See Jamshid-Negad v. Kessler (1993) 15 Cal.App.4th 1704, 1708 [stating that "it is reasonable to exercise jurisdiction on the basis of the defendant intentionally causing 'effects in the state by an omission or act done elsewhere' whenever [] the effects are of a nature 'that the State treats as exceptional and subject[] to special regulation'"].) In HealthMarkets, Inc. v. Superior Court, the Second District called the doctrine's validity into question. (See HealthMarkets, Inc. v. Superior Court (2009) 171 Cal.App.4th 1160, 1172 [explaining that, in Pavlovich v. Superior Court (2002) 29 Cal.4th 262, the California Supreme Court determined that "the intentional acts of a nonresident defendant committed outside of California are sufficient to establish purposeful availment under the effects test only if the defendant expressly aimed or intentionally targeted the conduct at California with the knowledge that the conduct would cause harm in this state"].) The opinion recognizes that "California's strong interest in providing its residents with redress against" a matter qualifying for special regulation "might help to establish the reasonableness of the exercise of jurisdiction if purposeful availment were shown." (Id. at 1173, emphasis added.) To repeat, though, Plaintiff fails to show purposeful availment.

Plaintiff's discovery request

Plaintiff seeks jurisdictional discovery. (Oppos. at p. 40.) Plaintiff acknowledges that such discovery is contingent on a demonstration that discovery is likely to lead to evidence of facts establishing jurisdiction. Plaintiff offers no such facts. To be sure, generally speaking, a plaintiff is “entitled to conduct discovery with regard to the issue of jurisdiction before” the motion to quash is decided. (Weil & Brown, supra, at ¶ 3:380.) “[D]iscovery should be allowed on [a] showing [that] ‘discovery is likely to lead to the production of evidence of facts establishing jurisdiction[.]’” (Ibid. [quoting Hardell v. Vanzyl (2024) 102 Cal.App.5th 960, 974-975].) “But a continuance may be denied if there is no showing that discovery would likely produce evidence of additional ‘contacts.’” (Ibid. [quoting Beckman v. Thompson (1992) 4 Cal.App.4th 481, 486-487].) Plaintiff fails to make a sufficient showing justifying jurisdictional discovery.

Relatedness

The opposition brief lumps multiple Defendants together, calling them the “Direct Contact Defendants.” (Opposition, p. 30.) The Stake Defendants are included. Plaintiff discusses the Direct Contact Defendants collectively in lieu of discussing the Stake Defendants individually. Plaintiff argues:

The Direct Contact Defendants’ relationship to California consists of—among other things—operating and managing Stake.us, contracting with Sweepsteaks so that their games and technology target California residents, or directly interacting with California residents playing their games on Stake.us. The People’s claims arise directly out of that connection because the Direct Contact Defendants’ gambling enterprise, and false statements in promoting it, violated California’s Unfair Competition Law and False Advertising Law. The relationship at issue therefore meets the “relaxed, flexible” “arise out of or relate to” standard. See, e.g., Briskin, 135 F.4th at 760 (“Briskin’s claims ‘arise out of’ Shopify’s contact with Briskin’s device, which Shopify allegedly knew was in California. Briskin’s claims also ‘relate to’ Shopify’s California contacts because Briskin alleges the kind of injury that would ‘tend to be caused’ by Shopify’s contacts with California merchants and consumers.”).

(Ibid.)

The People seem to hinge their position on the same deficient evidence that they cite for the purposeful-availment prong. Their showing fails.

Reasonableness

The Stake Defendants' burden to show unreasonableness does not apply until Plaintiff proves the first two prongs. (See, e.g., Weil & Brown, supra, at ¶ 3:255 [indicating that the unreasonableness burden belongs to the defendant and arises after the plaintiff shows purposeful availment and relatedness].)

Conclusion

The motion by Easygo, Medium Rare, Ed Craven, and Bijan Tehrani, to quash service of summons is granted. The complaint is dismissed as to them without prejudice.